

Product-Led Growth

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The product as the funnel

PROFESSIONAL DEFINITION

Product-Led Growth (PLG) is a strategy in which the product itself drives acquisition, conversion and expansion, with users experiencing value before, or instead of, a sales conversation.

WHO DEVELOPED IT

Popularised by the OpenView venture firm and product-led practitioners as a dominant software go-to-market model.

WHY IT WAS DEVELOPED

It was developed to lower acquisition cost and accelerate growth by letting the product do the selling.

FIGURE 1 · PRODUCT-LED GROWTH



Figure 1. A schematic of the Product-Led Growth as applied in BARBM312 (illustrative).

HOW IT IS USED

The product is designed for self-serve value, virality and expansion; metrics track activation and product-qualified leads.

WHEN IT IS USED

When designing go-to-market for AI products with self-serve potential.

BY WHOM IT IS USED

Product, growth and go-to-market leaders.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It shifts the growth engine from sales to the product, often lowering cost of acquisition for AI-enabled software.

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SOURCES (HARVARD REFERENCING STYLE)

Bush, W. (2019) Product-Led Growth. ProductLed.

OpenView (2021) 'The product-led growth playbook'.